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WHILE YOU'RE AT IT, INCLUDE THE WORLD

Five hundred years after Columbus discovered America, American investors have discovered the world.

Just thirty years ago, from a U.S. investor's point of view, the rest of the world did not exist. Or at least it could be totally ignored, for it was wholly irrelevant.

Asian and Latin American markets were so small as to be inconsequential. And Europe was growing more slowly than the United States, so why bother with her? There was nothing you could do over there that you couldn't do better here at home. If you wanted something exotic in your portfolio, you could buy some Royal Dutch Shell or Unilever, but you realized no advantage over Exxon or Procter & Gamble. Occasionally I would pick up a foreign stock—I bought Komatsu, a Japanese manufacturer of construction equipment, as early as 1970—but I didn't get serious about internationalizing the portfolio until about a decade ago. And I was earlier than most.

Also, the dollar was the only real money back then. There was the dollar and Monopoly money, and that was it. Remember when you took your vacations in Italy because everything was so cheap? You had a wonderful dinner for 18,000 lire, and you laughed at